

STRENGTHENING COMPLIANCE CULTURE IN THE ARCHITECTURE SECTOR

Presentation for RMIT

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Architects
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of Victoria



Acknowledgment of Traditional Owners

This presentation is being delivered on the lands of the Wurundjeri People and I wish to acknowledge them as Traditional Owners.

I would also like to pay my respects to their Elders, past and present, and Aboriginal Elders of other communities who may be here today.



ABOUT THE REPORT

CULTURE

A row of six light-colored wooden blocks, each with a black letter, spelling out the word 'CULTURE'. The blocks are arranged in a slightly overlapping manner. In the background, there is a larger, out-of-focus pile of similar wooden blocks, some of which also have letters on them.

Background

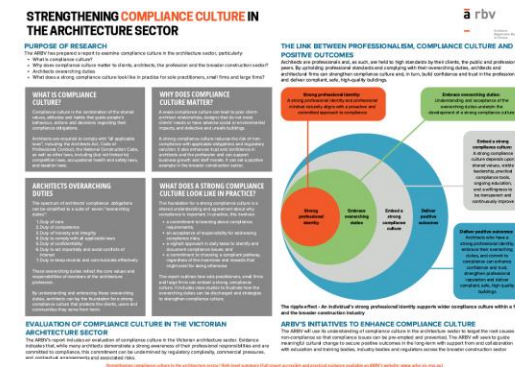
- Catalyst for report:
 - Reports by ARBV and NSW ARB on Systemic Risks in the Architecture Sector (2022 and 2024)
 - CSV Reports on Compliance in Building Design and Non-cladding Defects on Class 2 Buildings (2024)
 - Shergold-Weir Building Confidence Report (2018)
- Importance of regulatory oversight of sectoral culture:
 - Financial Services Royal Commission
 - Identifying and addressing root cause(s) of non-compliance
 - Avoiding harm to clients, users and the profession

Outputs

REPORT ON STRENGTHENING COMPLIANCE CULTURE IN THE ARCHITECTURE SECTOR

1 – PAGE HIGH-LEVEL SUMMARY

BOOKLET CONTAINING PRACTICAL GUIDANCE FOR ARCHITECTS AND ARCHITECTURAL FIRMS



KEY CONCEPTS

CULTURE



- Compliance culture is the combination of shared values, attitudes and habits that guide behaviour, actions and decisions

What is compliance culture?

Why does compliance culture matter?

- A strong compliance culture can reduce compliance risk, but also enhances trust and confidence in the profession. It can set a positive example for the broader construction sector

How can compliance culture be strengthened?

- By understanding and embracing their “overarching duties”, architects can lay the foundation for a strong compliance culture

What does a strong compliance culture look like in practice?

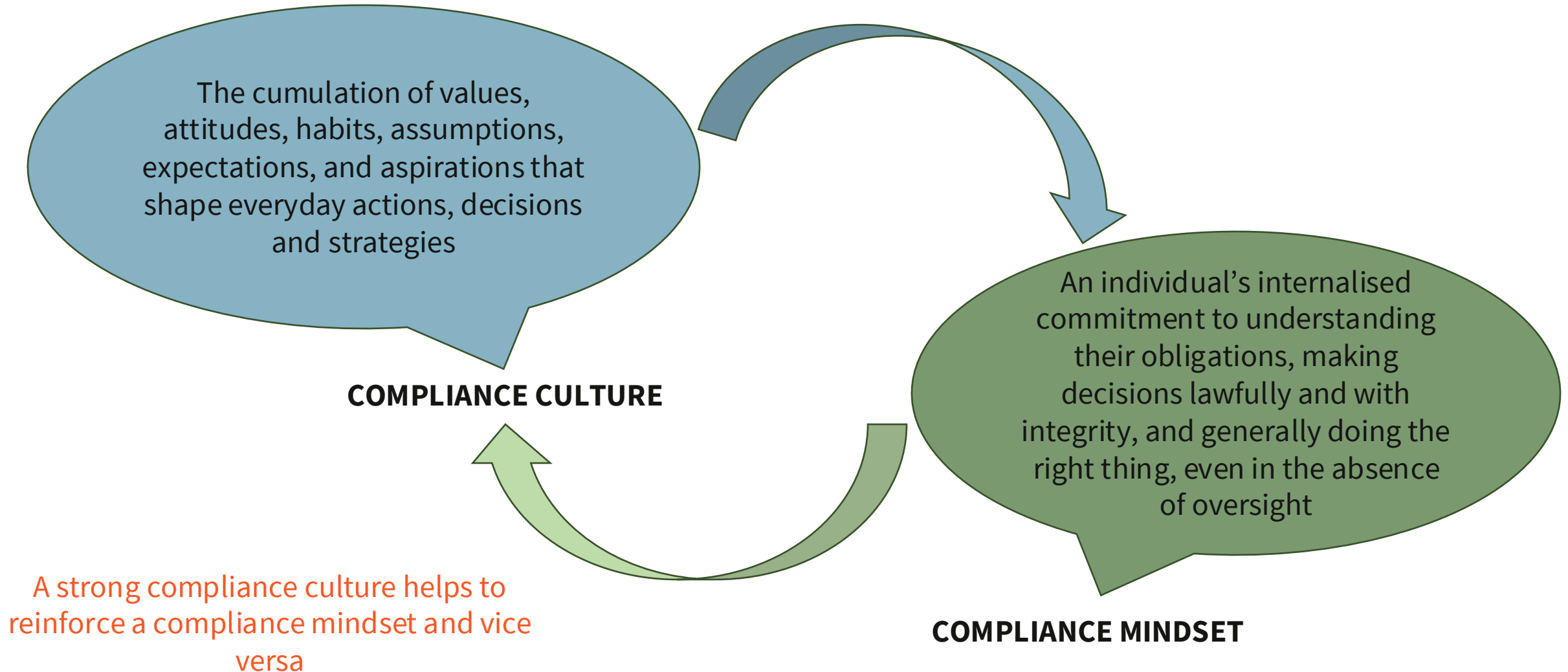
- The foundation for a strong compliance culture is a shared understanding and agreement about why compliance is important

COMPLIANCE CULTURE

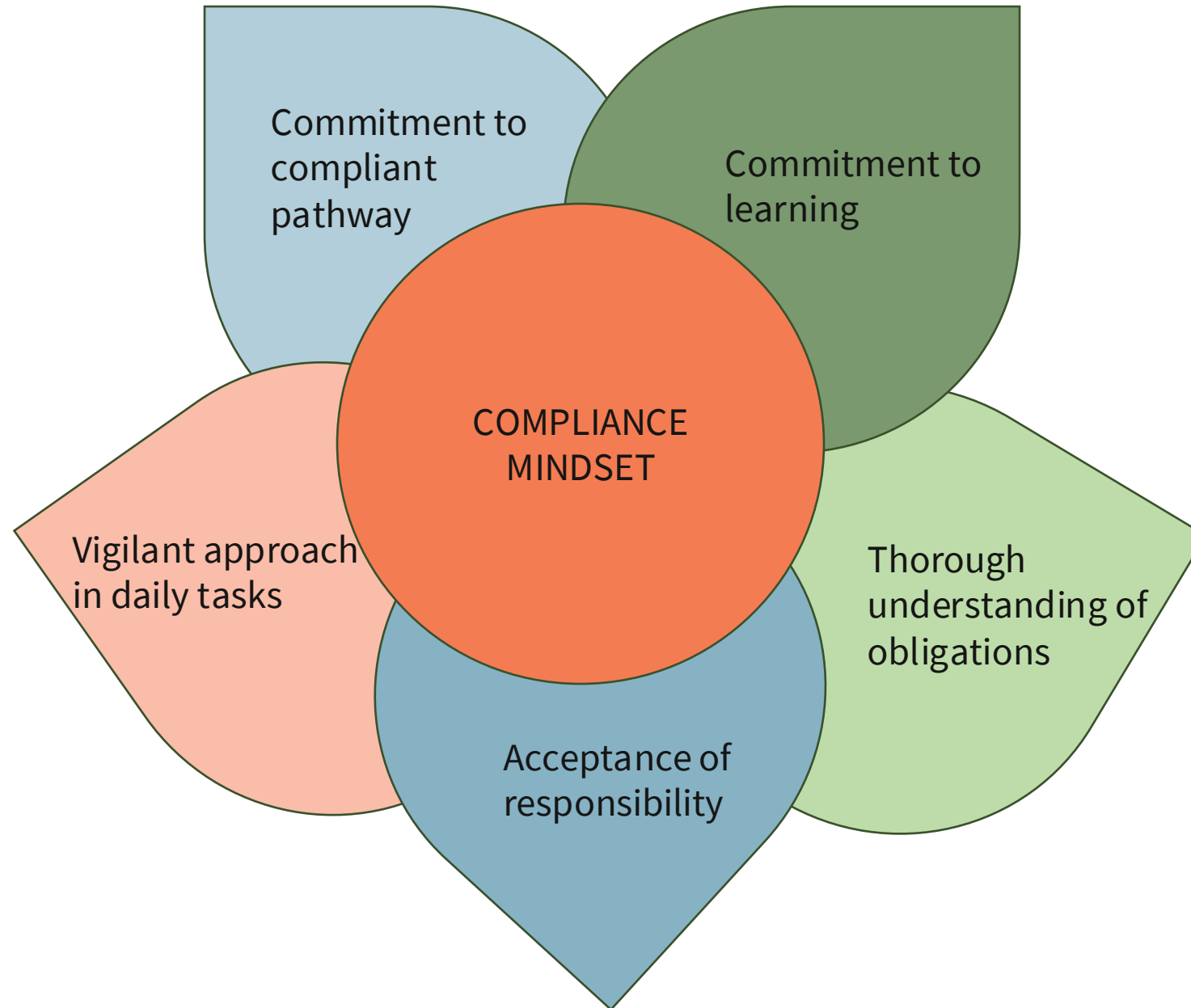
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Compliance mindset vs compliance culture



Elements of a compliance mindset



PROFESSIONALISM

CULTURE



The defining attributes of a professional

Specialised knowledge
and expertise



Provision of important
services for the benefit of
others



Services involve collaboration
and complex exercise of
discretion and judgement



Expected to maintain
high standards



Expected to comply with
legal and ethical obligations

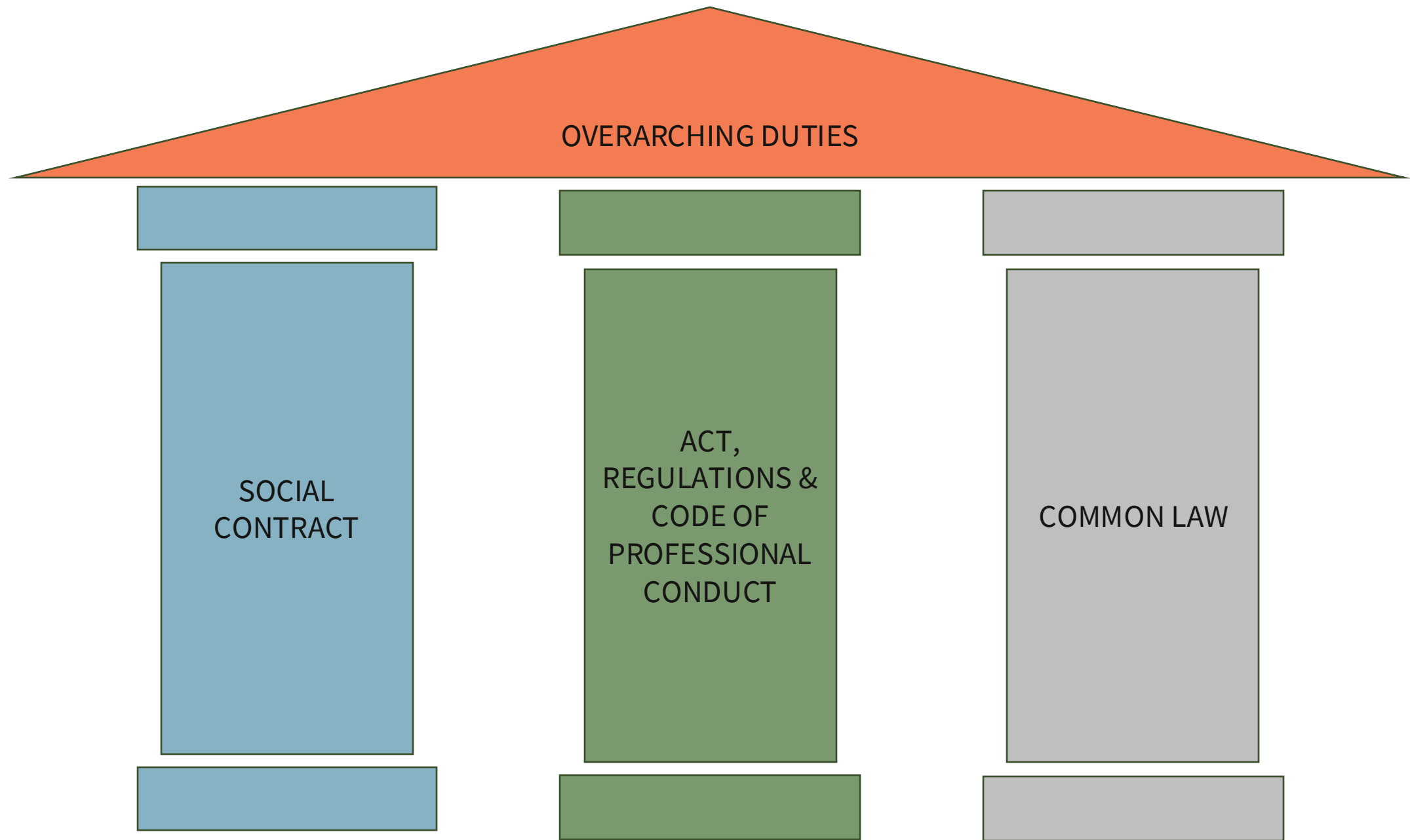


A professional
mindset
naturally
aligns with a
proactive and
committed
approach to
compliance

OVERARCHING DUTIES

CULTUR





1

Duty of care

2

Duty of competence

3

Duty of honesty and integrity

4

Duty to comply with all
applicable laws

5

Duty of confidentiality

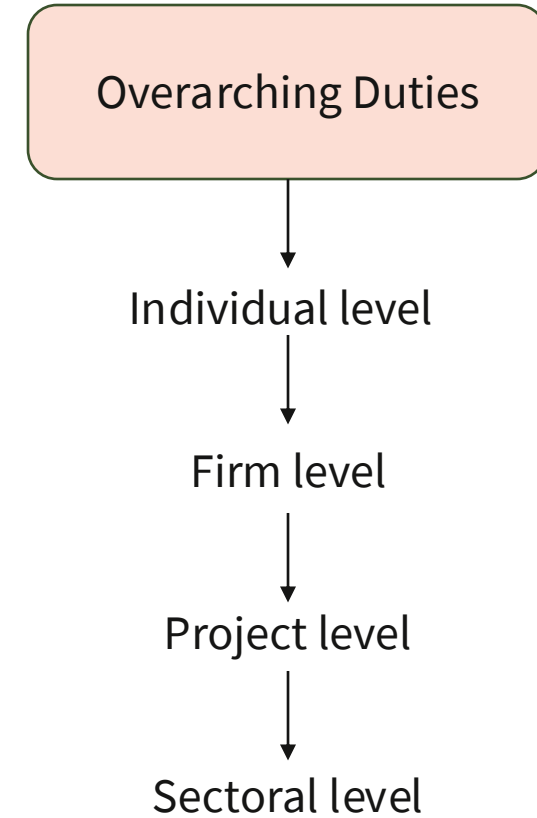
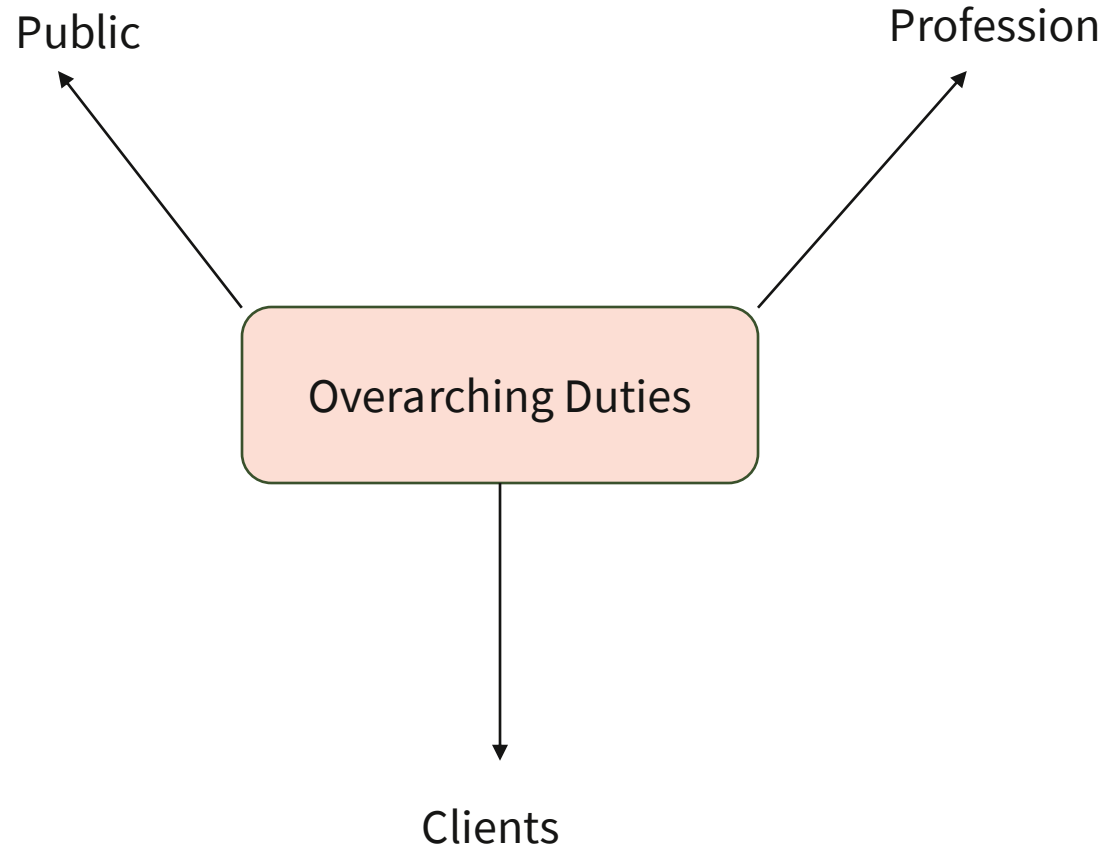
6

Duty to act impartially and
avoid conflicts of interest

7

Duty to keep records and
communicate effectively

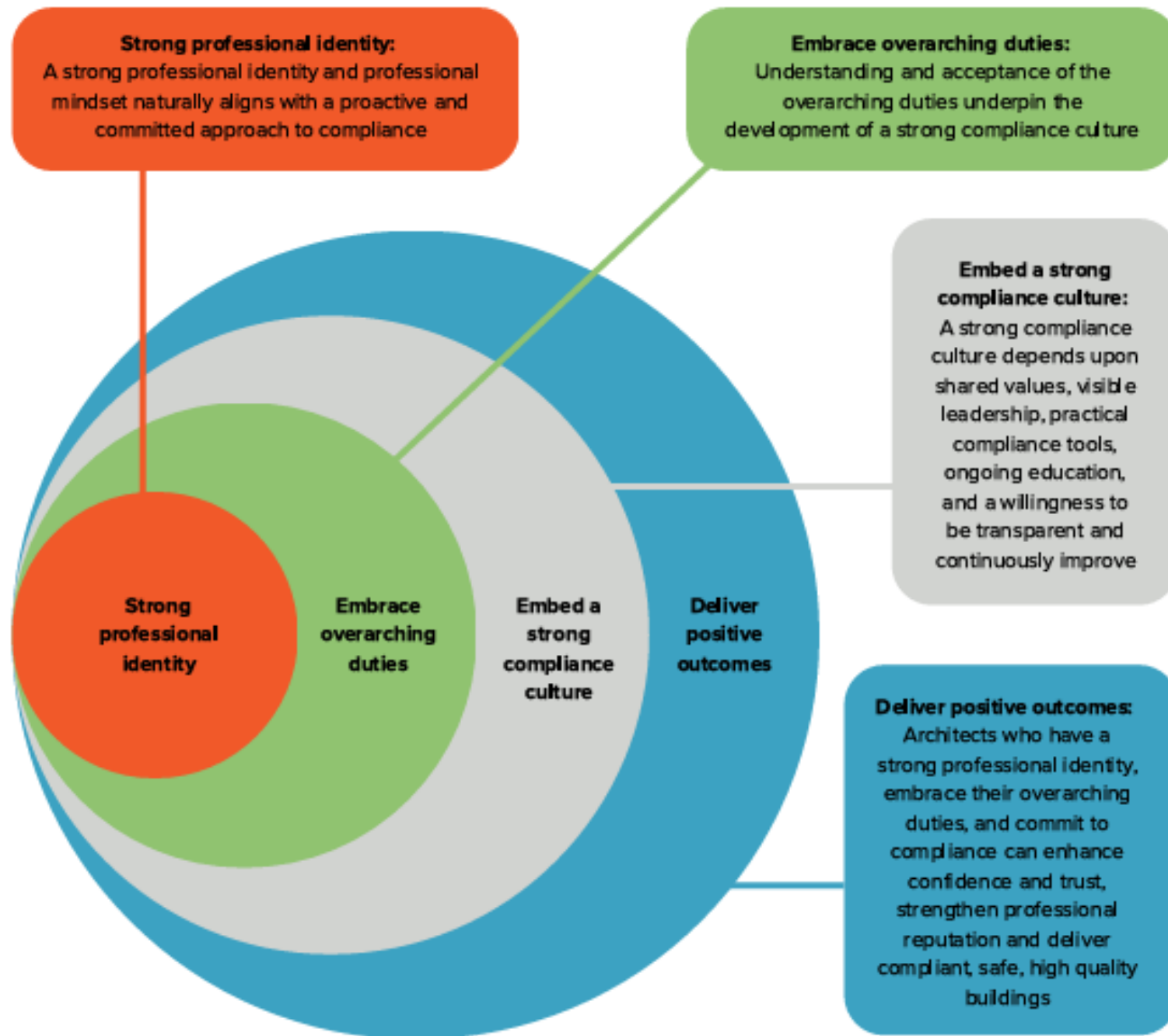
Practical application of overarching duties



OUTCOMES

CULTURE





The ripple effect - An individual's strong professional identity supports wider compliance culture within a firm and the broader construction industry

COMPLIANCE STRATEGIES

CULTURE



SOLE PRACTITIONERS AND SMALL FIRMS

1	Understand your unique culture	• Reflect on how your personal values, knowledge, and circumstances shape your approach to compliance
2	Lead by example	• Demonstrate a strong personal commitment to compliance through everyday actions and decisions
3	Practise self-discipline	• Apply self-discipline and good judgment to maintain compliance in all contexts, even when under commercial or time pressures
4	Stay informed	• Regularly participate in CPD and industry events, and access regulatory updates to stay informed about compliance obligations and risks
5	Use simple compliance tools	• Adopt practical tools like checklists and templates to manage key compliance obligations efficiently and effectively
6	Embed compliance in practice	• Integrate compliance risks, actions and decisions into routine workflows, project planning, and client discussions
7	Proactively address compliance issues	• Identify and resolve compliance risks early
8	Seek external support	• When necessary, seek external support for guidance and assistance to ensure compliance obligations are met
9	Learn from mistakes	• Analyse compliance incidents to understand root causes and prevent recurrence
10	Document work	• Maintain clear records of compliance decisions and actions to demonstrate accountability

LARGE FIRMS

1	Set the tone at the top	Practice owners and senior managers should champion the importance of compliance and ethical behaviour through visible actions and communications
2	Actively foster a compliant culture	Promote pride in the profession and reinforce the message that compliance protects clients, reputation and ensures safety and quality
3	Implement tailored Compliance Management System	Develop tailored policies, procedures, and systems to manage compliance risks consistently across the firm and projects
4	Engage with staff	Regularly engage with staff to ensure that they understand that compliance is a shared, collective responsibility
5	Clarify responsibilities	Ensure that individual staff are aware of their particular responsibilities to ensure compliance, including in different project contexts
6	Provide ongoing training and education	Ensure that staff receive ongoing training so that they understand compliance expectations and how to manage compliance and ethical risks in practice
7	Promote openness and transparency	Create a supportive environment where staff feel comfortable and safe to raise compliance concerns
8	Establish reporting mechanism	Establish formal mechanisms and, where appropriate, confidential channels, to report compliance issues
9	Incentivise compliance	Link staff performance reviews and recognition programs to compliant behaviour
10	Continuously improve	Regularly review policies, conduct risk assessments, and adapt systems based on compliance incidents and lessons learned

CONCLUDING REMARKS

CULTURE



Key takeaways

- A strong compliance culture is not optional in architectural practice.
- A strong compliance culture can take significant effort and can deteriorate quickly if neglected.
- A strong compliance culture must be continuously cultivated.
- All participants in the construction sector need to collectively commit to compliance, but architects can lead by example.



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